



[Weekly Market Commentary](#)

Dear clients,

The latest FOMC meeting delivered several noteworthy updates on the Federal Reserve's economic projections and balance sheet management plans. The board held rates unchanged as expected (4.25%-4.50%) but made the decision to gradually reduce the pace of its balance-sheet runoff effective April 1, lowering the monthly cap from \$25B to \$5B. The latter should help support market liquidity, with the Fed hinting that the change to its quantitative tightening plan isn't just a temporary adjustment in response to debt limit concerns. Nevertheless, market reactions to the central bank's guidance were modest, as institutional investors look ahead to the potential tariff announcements on April 2 as the next major macro catalyst.

Meanwhile, things have been busy onchain. Ethereum developers introduced the new Hoodi testnet this week, as a critical step towards the upcoming Pectra upgrade. If Pectra is successful on Hoodi, the fork may be able to launch on Ethereum mainnet 30 days later. Separately, the dYdX community formally approved Stage 1 of its Treasury SubDAO Buyback Program, that would allocate 25% of net protocol revenue toward open-market purchases of DYDX tokens. This follows the announcement of a similar exercise proposed by Aave earlier to buyback \$1M in tokens over six months. The burgeoning buyback trend in DeFi may signal a maturation phase for the sector, in our view, as investors increasingly focus on project fundamentals.

Finally, we recently published our latest [2025 Institutional Investor Digital Assets Survey](#) with EY-Parthenon, which highlights the shifting attitudes towards crypto among institutional investors. For example, around 83% of decision makers that were surveyed at 352 firms said they plan to increase exposure to crypto in 2025. We also published our [Monthly Outlook: Tension and Transition](#) where we discuss our market thesis that crypto prices could find their bottom in the next few weeks before rebounding to new highs later this year.

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Best,
The Coinbase Institutional Team

Weekly Market Call

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